How to Read a 3-Statement Model (And What the Numbers Are Actually Telling You)

- Written by Harshvardhan Pandey

The work is only half done when you have built a financial model! The true art is taking a model blank and adding in a company's numbers and immediately knowing if it is a cash machine or a ticking bomb.

An integrated model is not just a collection of rows of numbers for a senior analyst, portfolio manager or VP, it is a search for underlying operational trends.

In this guide, I'll take you through the main levers of my 3-statement framework, what to be looking for and what it means when a metric is "high" or "low" for a company.

1. **Revenue Growth vs. Margin Trajectory.**

The first thing you should see when you fill in the 02-Inputs and 03-Assumptions sheet is the correlation between your Gross / EBITDA Margins and your Revenue Growth %!

- **High Revenue Growth + Expanding Margins:** When the business has true operating leverage and has pricing power. They're expanding and the fixed costs are not increasing at the same rate as their sales. It's a really good sign of an industry leader.
- **The Growth Trap:** In a scenario of high revenue growth combined with a fall in the margins, margins are compressed as the company is buying its own growth. They probably have many marketing pressures at work, slashed prices, or extremely high raw material expenses. That's a huge concern about sustainability.
- **Low Revenue Growth + Rising Margins:** This signals that the firm is past the growth spurt and is beginning to eliminate fat, automate or siphon off product lines that aren't fat profit, in order to maximize profits.

2. **Income (EBIT) vs. Operating Cash Flow (CFO) under the Core Engine.**

Go to the 04-Income Statement and 06-Cash Flow sheets and compare EBIT with the Net Cash from Operating Activities (CFO). As a healthy company, CFO should be aligned in line with or even exceed EBIT/Net Income over time.

- **CFO is much greater than EBIT:** This is very positive. It usually indicates a capital-light business or a company that takes cash payments from customers in advance of providing services (high deferred revenue) and, therefore, an extremely strong, liquid balance sheet.
- The Danger Zone: If a company has $100M in EBIT on the Income Statement, but only $10M in CFO on the Cash Flow Statement, you need to be very worried. That means it is just an accounting illusion that it is profitable. The company doesn't make any actual cash in the bank account, but it does recognize revenue on paper. Why? Focus on Working Capital.

3. **Working Capital Stress-Test (DSO, DIO, DPO)**

On the 03-Assumptions tab, take the time to read carefully the Working Capital Assumptions section. Here is where operational efficiency of the enterprise is won or lost.

Days Sales Outstanding (DSO): The time required to get cash from customers.

- **High / Spiking DSO:** When DSO crosses from 30 days to 60 days, it indicates that customers are paying their bills twice as long. The business has a lot of money tied up in Accounts Receivable. This indicates a worsening of the credit quality of customers or when the firm ruthlessly pushes through their sales funnel using low credit standards in order to make their sales numbers appear good.
- **Low / Dropping DSO:** The company has a huge leverage. Customers pay immediately. This provides a quick influx of cash to be reinvested in business.

DIO – Days Inventory Outstanding: How long inventory is sitting in the warehouse.

- **High / Spiking DIO**: Inventory is accumulating and is dusty. That is, the demand for products is decreasing, or the management overproduces products that are not sold. If the inventory is spiked (specifically the DIO), then the company will be in a situation to be forced to reduce or discount the inventory sooner than later, which is really bad news for future gross margins.

- **Low / Dropping DIO:** Lean, highly efficient supply chain. The company rapidly rotates out its product which reduces inventory storage expenses and eliminates obsolete stock.

Days Payable Outstanding (DPO): The number of days it takes the company to settle its payables to suppliers.

- **High DPO:** The company is purposefully paying less quickly suppliers so as to have money in its bank account. A high DPO is not a bad sign if the company is a large corporation such as Amazon or Wal-Mart because these corporations have a lot of leverage.
- **A drastic spike in DPO may signal a liquidity crisis**; if a company experiencing financial problems suddenly raises its DPO, it could be an indication that the company is on the verge of running out of cash and is simply refusing to pay its bills because it can’t afford them.

4. **Reinvestment Reality: CapEx as a % of Revenue**

On the 07-Supporting Schedules under the PP&E section, look at Capital Expenditures (CapEx) relative to Revenue and Depreciation.

- **Major difference between CapEx and Depreciation:** This is a company that is making a huge investment in growth - whether it's new factories, new technology, long-term operational assets, etc. It is common for a business that is going through a scaling-up process.
- **CapEx is less than or equal to Depreciation:** The company is in "maintenance mode. They are only spending enough to patch up old equipment, not to expand capacity. Such a move by a growth company indicates that they have a low return on project or are trying to artificially maintain the cash flow in the short term while neglecting the long-term.

5. **Capital Structure Risk – Fixed Charge Coverage & Leverage**

Check the Debt Schedule on the 07-Supporting Schedules tab and compare the amount of debt that is outstanding to the amount of cash that's being generated.

- **High Net Debt / EBITDA (> 4.0x):** The company is very highly leveraged. Many of their operating cash flows will be eaten up just by paying interest expenses on the Income Statement. This company will have high default risk when macro-economic conditions change for the worse or interest rates increase.
- **Low Net Debt / EBITDA (< 1.5x) or Net Cash Position:** Defensive, rock solid capital structure. The company can ride out any recession, finance its own expansion or make bold acquisitions without borrowing funds from banks.

Summary Checklist for Reading My Model:

1. **Check the top line:** Is growth efficient, or are margins being sacrificed for buying market share?
2. **Verify the cash quality:** Does Net Income actually turn into Operating Cash Flow (CFO), or is cash trapped under receivables and unsold inventory?
3. **Check the operational health:** Are DSO and DIO moving down, which is good or climbing up, which is bad?
4. **Look at the cushion:** Is the company generating enough cash to pay off the interest lines calculated in the Debt Schedule?

By using my model, you stop looking at financial modeling as a data-entry exercise and start using it as an interactive tool to understand corporate strategy. Feel free to input a company's data into the **02-Inputs page** and trace the movements yourself!